

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information
Large Cap (>\$200B) · Report Date: June 01, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-01

BUY

Blended Target: \$580.80

DCF + Comps + Analyst (see cross-check table)

Implied upside: +53.6%

Price (Jun): \$378.17

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$580.80 (+53.6% vs \$378.17); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **BUY** rating; blended target \$580.80. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.58T	Shares Out.	5823.7M
52-Week Range	\$162.00 – \$408.61	P/E (TTM)	28.8x
P/B	9.6x	Beta	1.27
Avg Volume	28.29M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$402.84B	Rev Growth	+15.1%
Op. Margin	36.1%	FCF (TTM)	\$73.27B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	463,624	516,074	560,814
Revenue Growth (%)	N/A	15.1%	15.1%	11.3%	8.7%
Net Income (\$M)	100,118	132,170	152,115	169,323	184,002
Net Income Growth (%)	N/A	32.0%	15.1%	11.3%	8.7%
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
ROE (%)	30.8%	31.8%	36.6%	37.0%	38.3%
EPS (\$)	17.19	22.70	26.12	29.08	31.60
Book Value / Share (\$)	55.82	71.31	71.31	78.62	82.55
P/E (x)	22.00	16.66	14.48	13.01	11.97
P/B (x)	6.77	5.30	5.30	4.81	4.58
Dividend Yield (%)	23.0%	23.0%	23.0%	23.0%	23.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$281.88	-25.5%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	\$404.91	+7.1%	—	Peer median P/E 30.9x
Comps — EV/EBITDA (peer median)	\$875.49	+131.5%	—	Peer median 28.4x
Comps — P/S (peer median)	\$748.53	+97.9%	—	Peer median P/S 10.8x
Comps — Blended (avg. of available multiples)	\$676.31	+78.8%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$430.72	+13.9%	39%	Included in blend
Blended target (weighted)	\$580.80	+53.6%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.97%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$74.92B
PV explicit (5Y)	\$385.17B
PV terminal	\$1.17T
Equity value (adj.)	\$1.64T
Implied price	\$281.88
vs. current	-25.5%

INDUSTRY ANALYSIS

1. Industry Overview

Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products and services, including ads, Android, Chrome, devices, Gmail, Google Drive, Google Maps, Google Photos, Google Play,...

2. Key Trends

- Strong top-line growth (15.1% YoY)
- High operating leverage (36.1% margin)
- Above-market volatility ($\beta=1.27$)
- Sector: Communication Services | Industry: Internet Content & Information

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$5.43T	34.4x	30.6x	63.0%	+85.2%
AAPL	Apple Inc.	\$4.52T	37.2x	28.8x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$3.44T	27.6x	18.4x	39.3%	+18.3%
AMZN	Amazon.com, Inc.	\$2.84T	30.9x	19.3x	12.2%	+16.6%
GOOGL*	Alphabet Inc.	\$4.58T	28.8x	28.4x	37.9%	+15.1%

* Subject company. P/e in line with peer median. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.